Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · RHP

M. K. Sons Fine Jewels Limited

Mainboard · Jewellery retail (Mumbai and Ahmedabad) · filed 2026-05-20 · lead manager(s): Aryaman Financial Services Limited · issue size Rs 275 cr · price band: Rs 153-162 · analysed 2026-10-26

CALL

Neutral

BUSINESS STAGE

Early scaling (5 showrooms, expanding with issue-funded inventory)

A fast-growing Mumbai-Ahmedabad jewellery retailer (5 showrooms, 13% EBITDA margin) raising Rs 220 cr of fresh money to stock new showrooms, priced at 23x annualised earnings against a 22x peer median; our fair value is Rs 120 (Neutral) because inventory-heavy growth leaves little free cash flow.

Revenue FY25 **₹351 cr** CAGR FY23-FY25: **275.5%**	PAT FY25 **₹23 cr** CAGR FY23-FY25: **316.8%**	EBITDA margin **11.0%** FY23: **9.1%**	Cash conversion (CFO / PAT, 3 yrs) **-116.1%**
Cash tax rate (3 yrs) **26.5%**	P/E at reference (post-issue) **23.4x** peer median: **21.9x**	Adjusted P/E (earnings quality) **39.2x** reported: **39.2x**	Blended value (Neutral) **₹119.55** vs reference: **-26.2%**
Reference price **₹162** Upper band Rs 162 (NSE issue page). At Rs 162: market cap Rs 911.9 cr post-issue; P/E 23.4x on 9M FY26 PAT annualised (39.2x on FY25, before a full year of the merged business); P/B 2.49x post-issue; EV/EBITDA 11.8x annualised. Objects floor Rs 133.46.			

Report structure

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Valuation: DCF and peer comparison (P2P)

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Conclusion

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

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STAGE

Mainboard · RHP

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Basis. A book-built issue of **1,70,00,000 shares**: a **fresh issue of 1.36 crore shares** and an **offer for sale of 34 lakh shares** by promoter Ramchand Raimalani. Price band **Rs 153-162**, lot 91 shares (Rs 14,742 at the upper band); bid/issue **28-Oct to 30-Oct-2026**; NSE and BSE; sole BRLM Aryaman Financial Services; registrar Bigshare Services (NSE issue page, read 26-Oct-2026). At Rs 162 the issue is **Rs 275.40 cr** (fresh Rs 220.32 cr, OFS Rs 55.08 cr). **The RHP could not be read:** it sits on an NSE archive host this environment

> cannot reach and was not on SEBI's site by 26-Oct-2026. All company figures are therefore from the **DRHP dated 11-May-2026** (SEBI filing 101528), with restated financials to **31-Dec-2025** (299 days old). Printed page numbers are cited (printed page = PDF page - 5). The RHP may update numbers, the share count (an optional pre-IPO placement of up to 20 lakh shares was allowed) and dates.
>
> Judged at the **upper band, Rs 162**. Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules.

1. Business of the company

- **What it does:** a regional jewellery retailer selling gold, diamond and CZ jewellery through its own showrooms; it buys finished jewellery from third-party manufacturers in Maharashtra and Gujarat rather than making it (pp. 156-157).
- **Footprint:** five leased showrooms, three in Mumbai and two in Ahmedabad, 6,513 sq ft in all (p. 91). The two Ahmedabad showrooms opened in FY24 and gave 62.40% of 9M FY26 revenue (77.17% in FY25) (pp. 21, 23).
- **Range:** more than 17,452 SKUs (13,322 gold designs, 4,130 diamond and stone designs) across 11 collections, from about Rs 11,000 upwards; bridal and daily wear (p. 157).
- **History and structure:** the promoter has sold jewellery since 1999 through his proprietorship, M. K. Sons Jewellers. The company (incorporated 2012) took over that business on 29-Mar-2025 under a business succession agreement, in exchange for 40,38,152 shares valued at Rs 71.07 cr (pp. 156, 189). The full-year effect of the merger therefore shows only from FY26.

Stage of the business

Classification: early scaling.

Evidence	Reading
Revenue Rs 24.91 cr (FY23) → Rs 217.32 cr (FY24) → Rs 351.28 cr (FY25); Rs 360.82 cr in 9M FY26	Rapid growth from new Ahmedabad showrooms and the merger
EBITDA margin 5.92% (FY24) → 10.98% (FY25) → 13.36% (9M FY26)	Scale and gold prices lifting margins
Inventory Rs 44.81 cr → Rs 240.59 cr (Dec-25); inventory days 205	Growth needs heavy stock
Issue funds Rs 151.51 cr of inventory for a new Maharashtra showroom and a bigger Ahmedabad showroom in FY27	The next leg is capital-funded

2. Industry outlook

Industry figures come from the CareEdge report commissioned and paid for by the issuer (p. 156); we have not checked them independently.

- **Market:** gems and jewellery are about 7% of India's GDP and 15% of merchandise exports; domestic jewellery demand is driven by weddings, festivals and gold's role as savings (pp. 111 onwards, 156).
- **Shift to organised retail:** hallmarking (BIS), GST and consumer preference for trusted brands are moving share from unorganised jewellers to organised chains, regional and national (p. 111 onwards).
- **Gold price:** high gold prices raise ticket sizes and the value of inventory, but can cut volumes; small retailers usually do not hedge (p. 143 onwards).

- **Competition:** national chains (Tanishq, Kalyan, Malabar, Senco) and strong regional players; listed peers named are Motisons, Tribhovandas Bhimji Zaveri, Senco Gold and PNGS Reva (p. 100).
- **Read for an investor:** a large, formalising market where regional players can grow by adding stores, but returns depend on inventory turns and the gold cycle.

3. Moat and SWOT analysis

Moat

- **Local brand and trust** in Mumbai (Bandra) and Ahmedabad (C. G. Road), built since 1999 (p. 156).
- **Asset-light sourcing:** buying finished pieces from many vendors keeps capital in stock rather than factories (p. 157).
- **Limits:** five stores, two cities and a promoter-family business; there are no structural barriers against national chains.

STRENGTHS	WEAKNESSES
• Revenue up from Rs 24.91 cr to Rs 351.28 cr in two years (p. 227) • EBITDA margin 13.36% and ROCE 26.84% in 9M FY26 (p. 101) • 17,452-SKU hallmarked range (p. 157) • Debt/equity 0.50x before the issue (p. 101)	• Five showrooms; Ahmedabad 62.40% of revenue (p. 23) • Inventory days 205; negative CFO FY23-25 (pp. 101, 228) • Short history as a combined entity (p. 189) • Young board; promoter family about 100% pre-issue (pp. 65-66, 78)
OPPORTUNITIES	**THREATS**
• New Maharashtra and expanded Ahmedabad showrooms in FY27 (p. 91) • Shift to organised hallmarked jewellery (p. 111 onwards) • Higher-margin diamond jewellery (p. 157)	• Gold price falls (p. 143 onwards) • National chains in Mumbai and Ahmedabad (p. 100) • Seasonal demand (p. 22)

4. Management analysis and governance

- **Board (six, pp. 65-66):** Ramchand Raimalani (Chairman and MD), Neelam Raimalani and Kush Raimalani (Whole-time Directors), and three independent directors (Aakash Keshari, Luke Fernandez, Shrenik Shah), appointed in FY26.
- **Ownership:** promoter family about 100% before the issue (Ramchand Raimalani 96.25%, Neelam Raimalani 3.75%) (p. 78). After the fresh issue and OFS the family would hold about 69.8% (our computation).
- **Cost to promoters:** the weighted average cost of shares acquired in the last 18 months is Rs 35.20; shares issued for the business transfer were valued at Rs 176 before the bonus issues (pp. 75, 84).
- **Pay:** Rs 1.65 cr a year to the three promoter directors at the FY26 rate; none was paid before FY25 (pp. 64, 195).

- **Related parties:** FY25 purchases of Rs 21.52 cr from the promoter's proprietorship before it was merged in; promoter loans (Rs 1.52 cr at Dec-25, down from Rs 12.35 cr at Mar-24); rent to the promoter for showrooms (Rs 1.23 cr in 9M FY26); purchases from promoter-group company Spicy Sangria Hotels (p. 64).
- **Litigation:** no criminal or regulatory cases. Income-tax matters for AY 2012-13 (Rs 1.64 cr) and others, and contingent income-tax demands of Rs 4.995 cr (pp. 63, 319).
- **Read:** a founder-run family business that has just formalised its structure: it merged the proprietorship, converted to a public company in Jan-2026 and added independent directors. Governance is young; the merger removed the main related-party overlap. None of this is a material issue under the Fund's rules.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY23	FY24	FY25	9M FY26
Revenue from operations	24.91	217.32	351.28	360.82
Gross margin (issuer)	20.55%	9.19%	14.51%	17.15%
EBITDA (issuer, excl. other income)	2.27	12.87	38.57	48.19
EBITDA margin	9.11%	5.92%	10.98%	13.36%
Finance cost	0.23	1.41	5.40	5.71
PAT	1.34	8.17	23.26	29.17
EPS (Rs, post-bonus)	0.60	3.63	10.26	6.83 (9 months)
Cash flow from operations	-4.95	-23.56	-9.53	18.01
Inventory	44.81	87.48	205.70	240.59
Inventory days (issuer)	611	122	178	205
Borrowings	12.13	38.64	68.93	72.11
Net worth	14.15	22.29	116.24	145.42
ROE (issuer)	9.46%	36.63%	20.01%	20.06% (not annualised)
ROCE (issuer)	12.89%	40.62%	27.24%	26.84% (not annualised)
Debt / equity (issuer)	0.86x	1.73x	0.59x	0.50x

Sources: pp. 101, 226-228. FY25 net worth includes Rs 71.07 cr of shares issued for the proprietorship (p. 189).

At the upper band (Rs 162): post-issue shares 5.6291 crore; market cap Rs 911.9 cr. P/E 39.2x on FY25 PAT, but only **23.4x on 9M FY26 PAT annualised** (Rs 38.89 cr), which is the more representative base because FY25 does not include a full year of the merged business. Post-issue net worth about Rs 365.74 cr, P/B 2.49x; EV Rs 756.2 cr, 11.8x annualised EBITDA. At Rs 153: P/E 22.1x annualised.

As disclosed by the company (Basis for Offer Price)

Item	As disclosed
Restated PAT, FY25	Rs 23.26 cr
EPS, FY25 (basic / diluted)	Rs 10.26 / Rs 10.26
P/E at floor price Rs 153 (basic / diluted)	14.91x / 14.91x

Item	As disclosed
P/E at cap price Rs 162 (basic / diluted)	15.79x / 15.79x
Industry peer P/E (highest / lowest / average)	32.86x / 11.27x / 22.07x

Source: DRHP dated 11-May-2026, Basis for Offer Price (p. 100); PAT p. 227 (RHP not reachable; provisional). The RHP prints the issuer's P/E as [●] until the price band is fixed; the P/E shown is the band divided by the company's own EPS, the computation the price-band advertisement makes. These are pre-issue, latest-full-year figures; our own P/E elsewhere in this report is on post-issue shares. The DRHP's latest full year is FY25; the RHP may base the P/E on FY26.

Positives and points to monitor

Positives	Points to monitor
EBITDA margin 13.36% in 9M FY26 (p. 101)	Inventory days 205 and rising (p. 101)
9M FY26 operating cash flow positive, Rs 18.01 cr (p. 228)	Operating cash flow negative in FY23-25 (p. 228)
Objects floor Rs 133.46 below the Rs 153 floor (p. 91)	Ahmedabad 62.40% of revenue (p. 23)
No criminal or regulatory cases (p. 319)	Gold-price exposure unhedged

Is the reported P/E right? Earnings quality at Rs 162

Reported P/E is a fair measure: the adjustments found move FY25 PAT by -0.1%, within the 10% threshold. On the FY23-FY25 average, which smooths one-year items, the P/E is 83.5x reported and 83.6x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY25	23.26	4.13	**39.2x**
FY25 after: deposit interest	23.24	4.13	**39.2x**
FY23-FY25 average, reported	10.92	1.94	**83.5x**
FY23-FY25 average, adjusted	10.9	1.94	**83.6x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY23	FY24	FY25	IN ADJUSTED P/E	CONFIDENCE	FY25 P/E IF APPLIED	PAGE
Interest on security deposits (Ind AS 116 unwinding, in other income) Notional interest on lease deposits; non-operating and immaterial.	-0.02	-0.03	-0.03	! YES	High	39.2x	p. 228
Promoter directors' pay at the FY26 run-rate No remuneration was paid to the three promoter directors before FY25 (Rs 0.60 cr in FY25); the FY26 rate is Rs 1.65 cr a year. Normalising FY23-25 for it lowers profit; a choice, not an accounting entry. For information.	-1.65	-1.65	-1.05	No (information)	Medium	40.6x	pp. 64, 195
Purchases from the promoter's proprietorship before its merger Rs 21.52 cr of	0	0	0	No (information)	Low	39.2x	p. 64

ITEM AND REASON	FY23	FY24	FY25	IN ADJUSTED P/E	CONFIDENCE	FY25 P/E IF APPLIED
FY25 purchases came from M. K. Sons Jewellers (promoter's proprietorship) before it was merged in on 29-Mar-2025; pricing is not disclosed, so any effect on margin cannot be quantified. For information.						

Also checked, no adjustment needed

✓ PASS No capitalised costs: no capital work in progress, intangibles negligible (p. 226)

✓ PASS Ind AS processing-fee amortisation (Rs 0.93 cr in 9M FY26) is charged in finance cost (p. 228)

✓ PASS No exceptional items FY23 to 9M FY26 (p. 227)

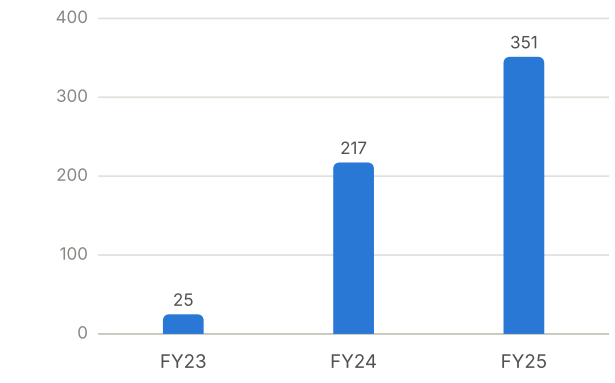
✓ PASS Profit taxed in cash: current tax about 27% of PBT (p. 227)

✓ PASS Gross margin rose from 9.19% (FY24) to 14.51% (FY25) and 17.15% (9M FY26) while gold prices rose; inventory gains cannot be separated from the disclosures (p. 101)

✓ PASS Inventory is not hedged against gold prices (no hedging policy disclosed)

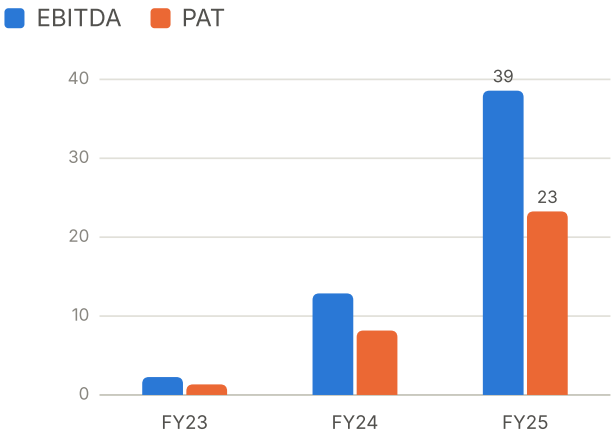
Revenue from operations

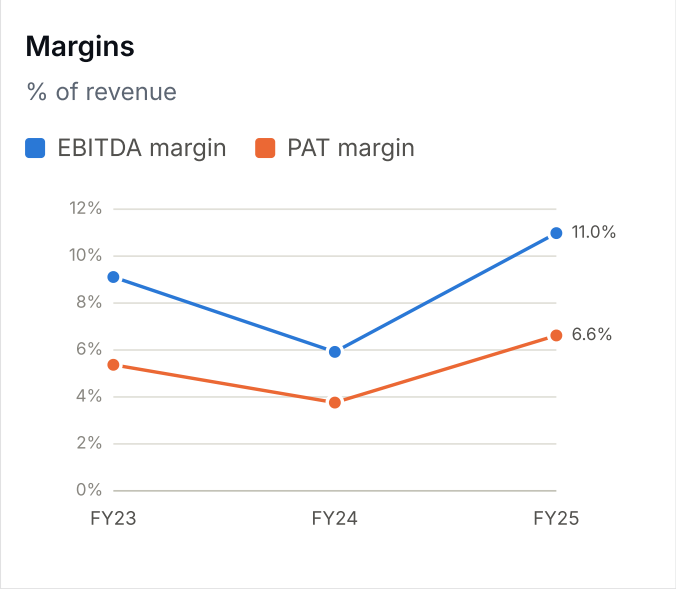
Rs crore

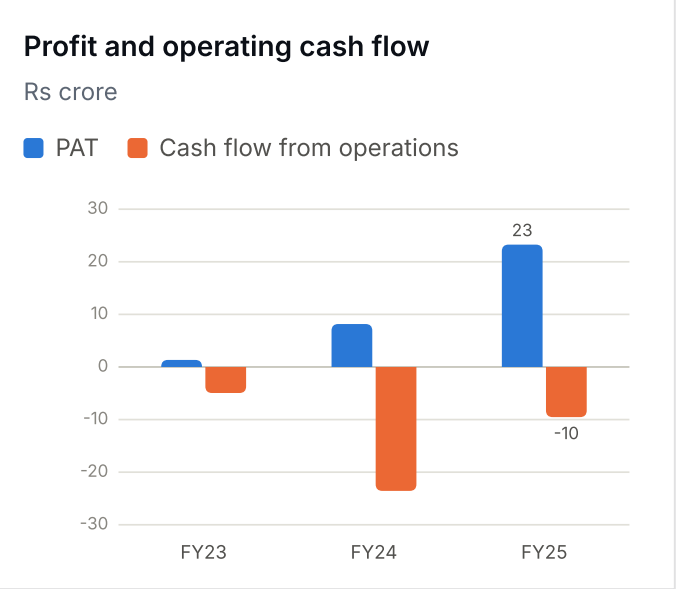


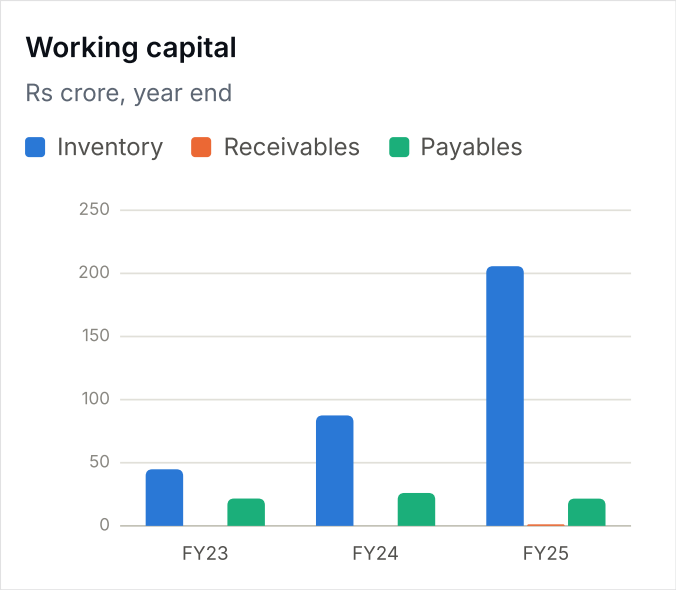
EBITDA and PAT

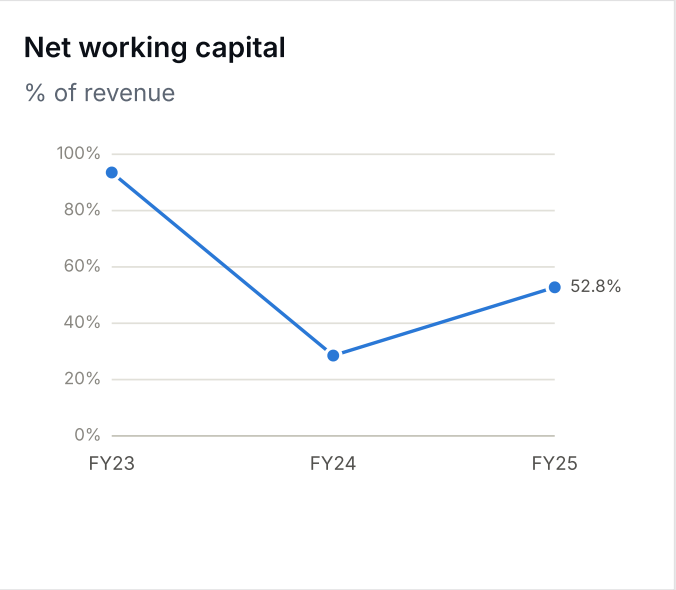
Rs crore











6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

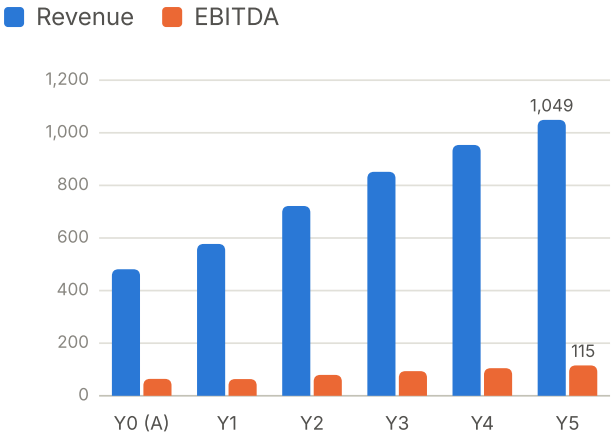
- **Use of the issue:** Rs 151.51 cr of inventory for a new Maharashtra showroom and expansion of the C. G. Road, Ahmedabad showroom in FY27; Rs 30.00 cr to repay borrowings; the rest is GCP (pp. 89-91). Fit-out and lease costs are funded from accruals.
- **What the new inventory can support:** current revenue is about 2x inventory (Rs 481 cr annualised on Rs 241 cr of stock), so the added stock can, as it turns, support a large step-up in sales over two to three years.
- **Neutral projection used in the model (Rs crore):**

	9M FY26 annualised	Y1	Y2	Y3	Y4	Y5
Revenue growth	37%	20%	25%	18%	12%	10%
Revenue	481.10	577.31	721.64	851.54	953.72	1,049.10
EBITDA (11%)	64.26	63.50	79.38	93.67	104.91	115.40
Free cash flow to firm	n.a.	0.1	-9.4	7.1	27.4	37.9

Growth absorbs cash because working capital is about 45% of revenue; the issue proceeds fund that build.

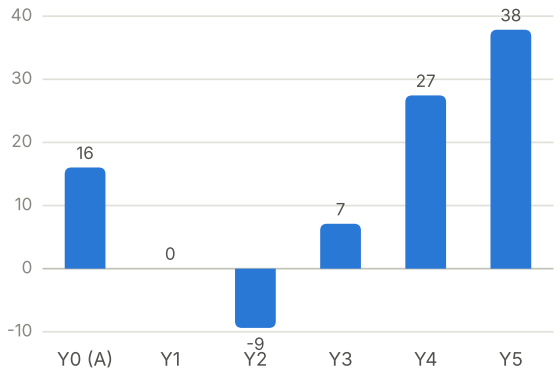
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore

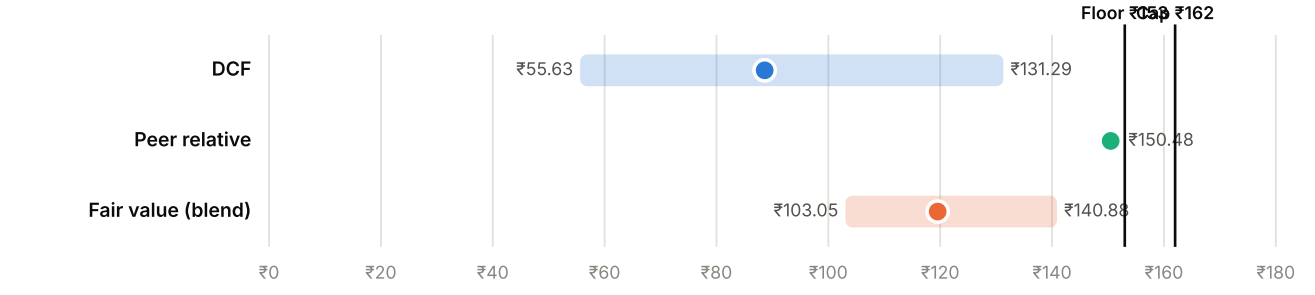


7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Upper band Rs 162 (NSE issue page). At Rs 162: market cap Rs 911.9 cr post-issue; P/E 23.4x on 9M FY26 PAT annualised (39.2x on FY25, before a full year of the merged business); P/B 2.49x post-issue; EV/EBITDA 11.8x annualised. Objects floor Rs 133.46.

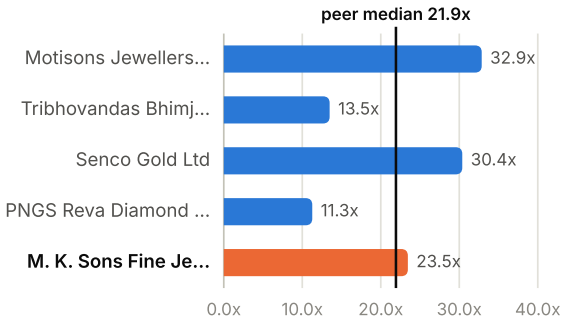
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



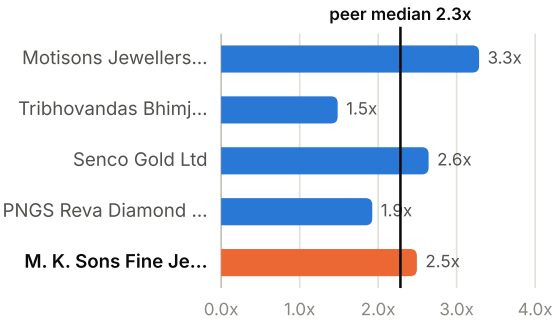
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹55.63	₹150.48	**₹103.05**	-36.4%
Neutral	₹88.61	₹150.48	**₹119.55**	-26.2%
Bull	₹131.29	₹150.48	**₹140.88**	-13.0%

WACC **14.5%**

Terminal value share of EV **90.4%**

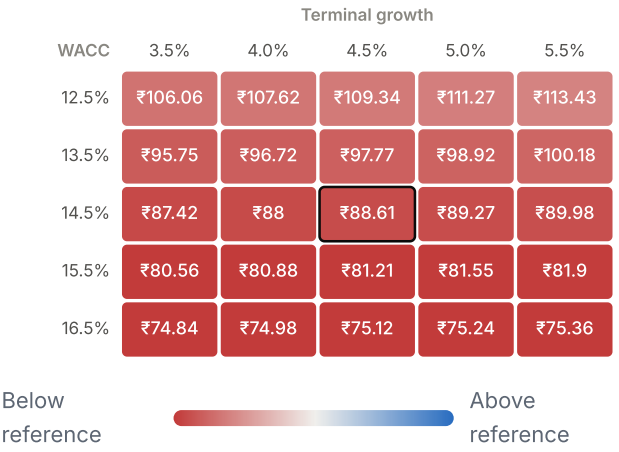
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	12.1%	4.5%
implied WACC at terminal g	6.7%	14.5%
required EBIT margin (steady state)	27.8%	12.7%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	44.8%

The price asks the business to deliver 47.2 times its current free cash flow, in perpetuity.

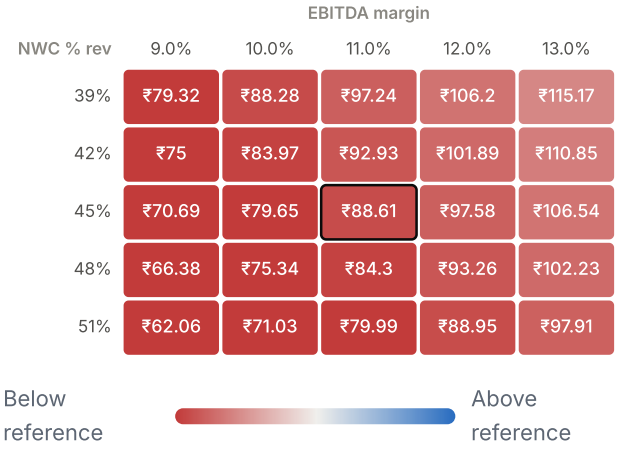
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are those in the DRHP's "Basis for Offer Price" (p. 100): NSE closes on 24-Apr-2026 and FY25 consolidated figures (the RHP will carry updated prices).

Company	CMP (Rs)	Revenue FY25 (Rs cr)	EPS (Rs)	NAV (Rs)	RoNW	P/E	P/B
Motisons Jewellers	13.80	462.11	0.42	4.20	10.43%	32.9x	3.3x
Tribhovandas Bhimji Zaveri	146.18	2,620.48	10.84	98.49	10.86%	13.5x	1.5x
Senco Gold	318.10	6,258.68	10.47	120.37	8.18%	30.4x	2.6x
PNGS Reva Diamond Jewellery	396.90	258.18	35.21	206.19	59.36%	11.3x	1.9x
M. K. Sons at Rs 162 (post-issue, 9M FY26 annualised)	162	351.28 (FY25)	6.91	64.97	20.01%	**23.4x**	**2.5x**
Peer median					10.6%	21.9x	2.3x

Read: on annualised current earnings, M. K. Sons is priced close to the peer median (23.4x against 21.9x) with a higher return on equity, but it is far smaller, concentrated in two cities and earlier in its life as a combined company. Motisons, the closest regional peer, trades at 32.9x; TBZ, the Mumbai incumbent, at 13.5x.

DCF and fair value

Inputs (9M FY26 annualised; Dec-25 balance sheet; Rs crore): revenue 481.10; EBITDA 64.26; D&A 3.42; PAT 38.89; net worth 145.42; net debt 64.60 (borrowings 72.11 + leases 6.30 - cash 13.81); working capital 215.41 (Mar-25 185.34); capex 2.85. Fresh issue Rs 220.32 cr (1.36 crore shares) credited in the equity bridge.

Cost of capital (house CAPM, editable): risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%, no company-specific premium; cost of equity 16.2%; pre-tax cost of debt 10.0%; debt weight 20%; **WACC 14.46%**; terminal growth 4.50%; terminal ROIC 16%. Terminal value is 90% of enterprise value (the DCF leans on the terminal year because growth absorbs working capital in the explicit years).

Rs per share	Bear	Neutral	Bull
DCF	55.63	88.61	131.29
Relative (peer-median P/E and P/B)	150.48	150.48	150.48
Fair value (50:50 blend)	**103.05**	**119.55**	**140.88**
Against Rs 162 (upper band)	-36.4%	-26.2%	-13.0%
Against Rs 153 (floor)	-32.6%	-21.9%	-7.9%

- **Scenario drivers:** growth 7-12% / 10-25% / 12-32% a year; EBITDA margin 8.5% / 11% / 13%; working capital 50% / 45% / 40% of revenue; terminal ROIC 12% / 16% / 20%. Rationale and page cites are in the valuation workbook.
- **Why DCF and peers diverge (-41%):** jewellery retail ties up about 45 paise of working capital per rupee of sales, so most of the profit is reinvested in stock and free cash flow stays thin; listed peers trade on earnings multiples that look past this.
- **Sensitivity (Neutral DCF):** WACC 12.5-16.5% gives Rs 109-75; margin 8.5-13% gives Rs 66-107; working capital 40-50% gives Rs 96-81.
- **Objects floor:** Rs 133.46 a share (Rs 181.51 cr of objects over 1.36 crore fresh shares) sits above the blended Neutral value but below the band; it is mostly inventory, which keeps its value.

- **Reverse DCF at Rs 162:** the price asks the business to deliver 47.2 times its current free cash flow in perpetuity. **In plain words: the price assumes the new showrooms turn their stock quickly and that margins hold near today's gold-price-assisted levels.**

8. Areas to watch and growth drivers

Growth drivers to track

- **New showrooms:** opening of the Maharashtra showroom and the expanded Ahmedabad store in FY27, and their sales per sq ft (p. 91).
- **Inventory turns:** revenue/inventory back above 2x; inventory days below 180.
- **Margin:** EBITDA margin above 11% if gold prices stabilise (p. 101).
- **Mix:** diamond and studded jewellery share (p. 157).
- **Cash flow:** operating cash flow positive in a growth year.

Points to monitor

Item	Now	Why it matters to an investor
Gold-price exposure	Inventory Rs 240.59 cr, no hedging disclosed (p. 226)	A gold fall hits margins and stock value
Geographic concentration	Ahmedabad 62.40% of revenue (p. 23)	One market drives results
Related parties	Rent and loans from the promoter; FY25 purchases from his proprietorship (p. 64)	Arm's-length terms
RHP updates	Pre-IPO placement, restated numbers, dates	DRHP figures used here
Governance	Board reconstituted in FY26 (pp. 65-66)	Oversight as a listed company

What would change our view

- **Towards Subscribe:** allotment at a lower effective price, or RHP numbers showing FY26 profit well above the annualised 9M level with positive cash flow.
- **Towards Avoid:** a weaker gold-price environment compressing margins, or slow sales at the new showrooms.
- **Price:** fair value changes only slightly with the price (the fresh issue is a fixed share count). The call rule reads Subscribe at or below about Rs 124 and Avoid above about Rs 175.

Risks

- Gold-price volatility (p. 143 onwards).
- Regional concentration and competition from national chains (pp. 23, 100).
- Inventory build and working-capital needs (p. 21).
- Seasonality (p. 22).
- Execution of the new showrooms (p. 21).

9. Conclusion

CALL

Neutral

STAGE

Mainboard · RHP

A fast-growing Mumbai-Ahmedabad jewellery retailer (5 showrooms, 13% EBITDA margin) raising Rs 220 cr of fresh money to stock new showrooms, priced at 23x annualised earnings against a 22x peer median; our fair value is Rs 120 (Neutral) because inventory-heavy growth leaves little free cash flow.

Business stage Early scaling (5 showrooms, expanding with issue-funded inventory)

Neutral at Rs 162 (upper band).

The investment case. A fast-growing regional jeweller with five showrooms in Mumbai and Ahmedabad, a 13% EBITDA margin and about 27% ROCE. The issue is mostly fresh money (Rs 220 cr) to stock a new Maharashtra showroom, expand in Ahmedabad and repay some debt, which leaves the balance sheet strong. On annualised current earnings the price (23.4x) is close to listed jewellery retailers (median 21.9x), and the reported P/E is a fair measure.

What holds the value down. Inventory-heavy growth means little free cash flow, the business has a short history as a combined entity, two-thirds of sales come from Ahmedabad, and part of the recent margin expansion likely reflects rising gold prices.

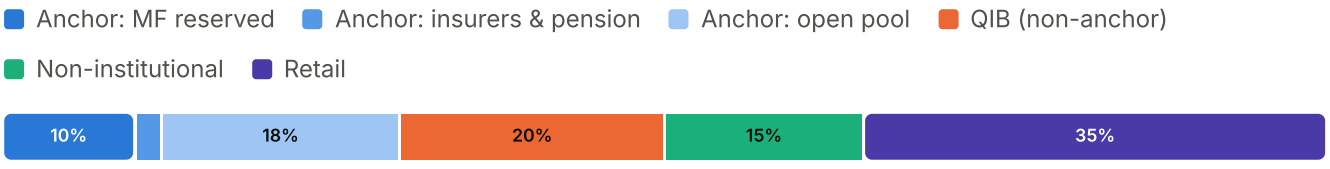
Valuation. Fair value Rs 103 / **Rs 120** / Rs 141 (Bear / Neutral / Bull). **Call rule:** the Neutral value is 26.2% below the upper band (between 10% and 30%), so the call is **Neutral**. No material issue was found. This report uses DRHP figures because the RHP was not reachable; it will be refreshed if the RHP changes the numbers.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 275 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	25.5	30
Anchor - tranche 2	25.5	90
Promoter holding above 20% of post-issue capital (after OFS)	280.33	180
Promoters' minimum contribution (20% of post-issue capital)	112.58	540

Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✓ PASS	Bonus issues of 2:1 (16-May-2025) and 2:3 (Dec-2025) are reflected: EPS 0.60 / 3.63 / 10.26 FY23-25 and 6.83 for 9M FY26 are on the 4,26,90,760 post-bonus shares.	pp. 73-76, 98
2	Cash flow vs profit	! WATCH	Operating cash flow Rs -4.95 / -23.56 / -9.53 cr FY23-25 against PAT Rs 1.34 / 8.17 / 23.26 cr as inventory rose from Rs 44.81 cr to Rs 205.70 cr; 9M FY26 CFO +Rs 18.01 cr against PAT Rs 29.17 cr. Typical for a jewellery retailer stocking new showrooms; inventory days 122 → 178 → 205 (p. 101).	p. 228
3	Current vs deferred tax	✓ PASS	Current tax about 27% of PBT each year; income tax paid Rs 12.46 cr over FY23-9M FY26.	p. 227
4	Related-party capex & subsidiaries	! WATCH	Until 29-Mar-2025 the promoter ran a parallel proprietorship (M. K. Sons Jewellers), from which the company bought Rs 21.52 cr of goods in FY25; it was then merged in for 40,38,152 shares at Rs 176 (Rs 71.07 cr). Promoter loans (Rs 1.52 cr outstanding Dec-25) and showroom rent to the promoter (Rs 1.23 cr in 9M FY26) continue. Disclosed; the merger removes the overlap.	pp. 64, 189
5	Objects arithmetic as price floor	✓ PASS	Objects Rs 181.51 cr (showroom inventory Rs 151.51 cr + debt repayment Rs 30.00 cr) over 1.36 crore fresh shares = Rs 133.46 a share before GCP and expenses, below the Rs 153 floor.	pp. 89-91
6	Revaluation reserve	○ OPEN		
7	Goodwill vs tangible equity	✓ PASS	No goodwill; intangibles negligible (Rs 0.05 cr).	p. 226
8	Customer / supplier / geographic concentration	! WATCH	Five leased showrooms (3 Mumbai, 2 Ahmedabad; 6,513 sq ft); the two Ahmedabad showrooms gave 62.40% of 9M FY26 revenue. Finished jewellery is bought from third-party vendors in Maharashtra and Gujarat without long-term contracts.	pp. 21, 23, 91
9	Contingent liabilities	✓ PASS	Contingent liabilities Rs 4.995 cr of income-tax demands (3.4% of Dec-25 net worth); no criminal or regulatory cases.	p. 63
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	✓ PASS	Paresh Rakesh & Associates LLP; FY23-25 restated from special-purpose Ind AS statements prepared from Indian GAAP books.	p. 18
R2	CARO / audit trail	○ OPEN		
R3	Monitoring agency	✓ PASS	Fresh issue about Rs 220 cr at the upper band: monitoring agency mandatory; to be named in the RHP.	p. 89
R4	Eligibility re-computation	○ OPEN		
R5	SME conditions	– N.A.	Mainboard issue under Reg 6(1).	cover

#	CHECK	RESULT	FINDING	PAGE
R6	Lead-manager track record	○ OPEN	Aryaman Financial Services (sole BRLM): track record not compiled in this run.	
R7	Firm means of finance	○ OPEN		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:** fresh issue 1.36 crore shares (Rs 220.32 cr at Rs 162) + OFS 34 lakh shares by Ramchand Raimalani (Rs 55.08 cr); QIB up to 50% (anchor up to 60% of that), NII at least 15%, retail at least 35% (NSE issue page; cover).
- **Objects:** showroom inventory Rs 151.51 cr; debt repayment Rs 30.00 cr; GCP up to 25% of gross proceeds (pp. 89-91).
- **Anchor book:** anchor bidding one working day before opening (27-Oct-2026). The allocation report is on an NSE archive host this environment cannot reach.
- **Lock-ins:** promoters' minimum contribution (20% of post-issue capital, about 112.58 lakh shares) for 18 months; the rest of the promoter holding (about 280.33 lakh shares) for six months (p. 84); anchor shares 50% for 30 days and 50% for 90 days.

Appendix B: Merchant bankers

Aryaman Financial Services Limited (sole BRLM). Its track record of past issues is not compiled in this run.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Bonus issues and share count	PASS	Two bonus issues in 2025 reflected in EPS (pp. 73-76)
2	Cash flow vs PAT	WATCH	Negative CFO FY23-25 from inventory build; 9M FY26 positive (p. 228)
3	Current vs deferred tax	PASS	Current tax about 27% of PBT (p. 227)
4	Related-party dealings	WATCH	Pre-merger purchases from the promoter's proprietorship; rent and loans (p. 64)
5	Objects as price floor	PASS	Rs 133.46, below the band (p. 91)
7	Goodwill	PASS	None (p. 226)
8	Concentration	WATCH	Ahmedabad 62.40% of revenue (p. 23)
9	Contingent liabilities	PASS	Rs 4.995 cr tax demands (p. 63)
R1	Auditor	PASS	No qualifications (p. 18)
R3	Monitoring agency	PASS	Required; to be named in the RHP
R6	BRLM track record	OPEN	Not compiled

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
RHP not obtainable; DRHP figures used	High	RHP (NSE / SEBI)
Pre-IPO placement (up to 20 lakh shares) made or not	Medium	RHP capital structure
Allotment and listing dates; anchor book	Medium	RHP / exchange filing
Gold-price gains within gross margin; hedging policy	Medium	RHP MD&A
Q4 FY26 / full-year FY26 results	Medium	RHP
Aryaman Financial Services track record	Low	RHP

Verification

- **Restated P&L reproduces:** 9M FY26 total income Rs 360.85 cr less expenses Rs 320.90 cr = PBT Rs 39.95 cr; less tax Rs 10.78 cr = PAT Rs 29.17 cr (p. 227).
- **Balance sheet balances:** Dec-25 total assets Rs 280.42 cr = equity Rs 145.42 cr + non-current liabilities Rs 24.65 cr + current liabilities Rs 110.36 cr (p. 226).
- **Cash flow:** 9M FY26 operating, investing and financing (+18.01, -2.14, -4.86) sum to the +11.01 change in cash (p. 228).
- **EBITDA reproduces the KPI table:** PBT 39.95 + finance cost 5.71 + D&A 2.57 - other income 0.02 = Rs 48.19 cr (p. 101).
- **Workbooks:** the toolkit verification gate passed on this build.

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